Gland Pharma Ltd

Concall Tracker — is there a real earnings driver, and has management stuck to its word?

Reading of the last 12 earnings calls (Q1 FY24 → Q4 FY26) · 03 Jul 2026 · source: company concall transcripts via Screener.in

Plain-word key: Injectables = medicines given by injection or drip. **CDMO** = Contract Development & Manufacturing Organisation — a factory-for-hire that makes drugs for other pharma companies. **Cenexi** = a European contract-manufacturing business Gland bought in April 2023. **GLP-1** = the new class of weight-loss / diabetes drugs (the Ozempic family). **EBITDA / operating margin (OPM)** = operating profit before interest, tax and depreciation, as a % of sales.

1 Snapshot — what this business is

Gland Pharma makes **sterile injectable medicines** and sells them mostly to *other* companies (a business-to-business model) in the US and around the world. Increasingly it also runs **factories-for-hire (CDMO)** that manufacture drugs for other pharma firms — this contract-manufacturing arm is now its main growth engine.

Number (year to March)	Value	What it means in plain words
Revenue FY26	₹6,431 cr	Total sales for the year, up **14.5%** from ₹5,616 cr the year before. (₹1 crore = ₹10 million.)
Revenue FY25	₹5,616 cr	Essentially **flat** versus FY24's ₹5,665 cr — a lost year for growth, before the FY26 rebound.
Net profit FY26	₹1,027 cr	What's left after all costs and tax — up a big **47%** from ₹699 cr in FY25.
Operating margin FY26	25%	For every ₹100 of sales, about ₹25 is operating profit — recovered from 23% in FY25.
Earnings per share FY26	₹62.35	Profit earned per share over the year (up from ₹42.40 in FY25).

Snapshot figures from Screener.in financial tables. The story below is built from reading the actual earnings-call transcripts.

2 Which calls were read

All **12 quarterly earnings calls over the last three years** were read in order, oldest to newest — a full run with no gaps. That is enough history to judge whether management kept its promises.

Financial year	Calls read (quarter → month)
FY24	Q1 (Aug 2023) · Q2 (Nov 2023) · Q3 (Feb 2024) · Q4 (May 2024)
FY25	Q1 (Aug 2024) · Q2 (Nov 2024) · Q3 (Feb 2025) · Q4 (May 2025)
FY26	Q1 (Aug 2025) · Q2 (Nov 2025) · Q3 (Jan 2026) · Q4 (May 2026)

3 The earnings trigger — what management says will grow profit

HEADLINE

Yes — there is a concrete, still-live driver. The growth story is **US complex injectable launches** (a steady 30+ new products a year at high profit margins) sitting on top of a **contract-manufacturing**

(CDMO) franchise — built around the European "Cenexi" business — that spent two years losing money but **turned profitable in FY26**. On top of that, **weight-loss (GLP-1) drug manufacturing** is being built as a free bonus for later years. FY26's numbers (sales +14.5%, profit +47%) show the engine finally firing.

Driver	What management said	Evidence so far	Horizon	Strength
US injectable launches	30+ new products a year, high (65–72%) gross margins; regain lost contracts	Happening every quarter; a real driver — though base US sales were lumpy (dipped in a couple of quarters on timing)	Now → ongoing	Strong
CDMO / Cenexi turnaround	Loss-making European unit would break even, then earn double-digit margins	Turned profitable in FY26 (EUR 16m operating profit) after ~7 losing quarters; now 46% of group sales	Delivered; margins still climbing	Strong
GLP-1 (weight-loss) fill-finish	Making cartridges/pens for weight-loss drugs; capacity 40m → 140m units	Contracts signed (8 by FY26), but big volumes only expected FY29–30; kept OUT of guidance as "upside"	FY29–30	Moderate
Biosimilars / biologics CDMO	Making biotech drugs for Dr. Reddy's and others; capacity 8KL → 23KL	Real but small (~₹100 cr in FY26)	FY27–28	Moderate
China via Fosun	Q1 FY24: "pricing better than US", 4 launches in 9–12 months	Admitted "lower than anticipated"; quietly faded to a footnote	—	Dropped

4 Has management been consistent? — promised vs delivered

Tracking the main promises across all 12 calls against what actually happened:

What was promised	First said	What actually happened	Verdict
Cenexi would break even (stop losing money)	FY24: "in 12–15 months" → later "by Q4 FY25"	Hit break-even in Q1 FY26 and held it — but about **a year later** than the timeline they set	Delivered (late)
Cenexi to reach double-digit / high-teen margins	FY25: "double-digit in FY27"	FY26 margin only ~4%; the double-digit goal keeps getting pushed further out	Too early
Cenexi sales to EUR 240–300m	FY24 / FY25	Only EUR 182m in FY26; FY27 guided merely "close to EUR 200m" — well behind	Behind
FY26 group growth "mid-teens ~15%"	FY25 Q4	Scared down to "12–13%" mid-year, but **actual FY26 was +14.5%** — effectively delivered	Near-hit
Base-business operating margin ~30–34%	FY24 Q2 ("30–32% floor")	Held at 34% and rose to 37–41% by FY26 — the most reliably kept promise	Beat
Mid-teens / 15% multi-year growth	FY24 → FY26	FY25 was flat (a clear miss); FY26 rebounded to +14.5% sales, +47% profit, re-validating it	Partly

Has the story drifted? It **evolved sensibly rather than lurched.** The spine — US launches plus tight base-business margins — was repeated every quarter and delivered. The growth engine broadened logically: "fix Cenexi" (FY24) → "Cenexi turnaround + biotech" (FY25) → "contract-manufacturing as the lead pillar + weight-loss-drug upside" (FY26). Only one early promise (China) was quietly dropped. Management's **tone honestly tracked reality** — it turned cautious through the flat FY25 ("taken longer than expected," and it fielded a pointed question on capital allocation) and only turned confident again once FY26 numbers delivered. The real blemish is that the flagship Cenexi turnaround, and especially its margin and sales targets, **repeatedly slipped to the right.**

5 Bottom line

Durable earning trigger? → YES

There is a clear, concrete and **still-live** driver: high-margin US injectable launches plus a contract-manufacturing (CDMO) franchise that has now turned profitable, with weight-loss-drug manufacturing as genuine free upside for later. It is not a hope — FY26's +14.5% sales and +47% profit show it playing out in the actual numbers.

Management consistent? → MAYBE (broadly yes, with one real caveat)

On the things most in their control — base-business margins and the breadth of the growth story — management was steady and even beat their word, and they communicated honestly through a weak year rather than staying artificially upbeat. **But** their flagship promise, the Cenexi turnaround, arrived about a year late, and its margin and revenue targets have been pushed back again and again. So: reliable on the base business, repeatedly optimistic-and-late on the big acquisition. Consistent enough to trust, not so clean as to take timelines at face value.

This report reads only what management said on earnings calls versus what the numbers later showed. It is not investment advice. Do your own due diligence.